

The cost of servicing the USA's national debt will be the force that breaks the dollar and turns America into a third-world country. It may even turn all Western economies into third-world beggars.

Currently, the cost of servicing the debt is greater than the military budget. It may already be the government's largest expense. These are already bad developments, but the situation will get worse—possibly much worse—in just a few years.

You may wonder why. Let's quote Einstein for good measure:

"The most powerful force in the universe is compound interest," and, "Compound interest is the eighth wonder of the world. He who understands it, earns it; he who doesn't, pays it."

You see, the national debt grows every single day—by more than 15 billion dollars, according to current estimates. And, of course, the cost of financing it grows as well. Every time the government needs to refinance an expiring Treasury security, it must replace it with a new Treasury security that costs more to finance than the one it replaces. So the debt grows, and the cost to finance it grows exponentially. The same is true for all the new debt it must issue to finance its current overspending, at today's higher rate. A linear growth of debt now spawns an exponential growth of servicing it.

This is the key: each year, refinancing costs may grow exponentially compared with other expenses that grow in a more linear fashion. Soon, if it is not already happening, the government will have to borrow just to pay the interest on its debt. If I can see this, many others can see it as well—but few dare to say it. America is going broke.

Currently when new treasury bonds are offered, they do not sell as they once did. Like nobody wants them like they used to. They can smell something fishy, something unhealthy even toxic but they still do not believe their gut feeling. So they buy in once they can get a slightly better rate than initial offered. So uncle say is selling bonds at a loss right from the get go.

Today, we are facing a trifecta of privately created simultaneous crises.

The AI bubble which is a much bigger dot-com event.

The private credit insolvency that is the great recession on steroids with no backstop.

Commercial real-estate refinancing that is an S&L style event, but much bigger.

Once these crises become overwhelming, what will the government do? The only thing it can do. It will inject more invented money into the system, hoping that this will fix things and make everything whole again. But what will injecting so much cash into the system really do? It will devalue every other dollar already out there. So the next bond issuance will have to be offered at a higher interest rate because nobody is interested in getting back less than they put in, and inflation does just that. That will create an exponential increase in the cost of servicing the national debt, which will require even more money just to pay the interest. Higher yields will cost more to finance, which forces the Federal Reserve to inject even more invented money, and this at a compounding rate. This will be called quantitative easing at scale.

This will happen before 2030, and when it does, the USA will have only one option left: default.

author: Patrick Rothlisberger (Tailor_Soft)

date: 12-08-2026